

## Cover Letter — Senior Secured Term Loan

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**Date:** 2026-07-06

**From:** GrnBit (Cayman) Holdings · Miracle Lake TX Phase 1

**To:** Prospective senior lender / participation syndicate

**Re:** Indicative \$3,000,000 senior secured term loan facility — balloon structure

**Status:** Non-binding · for discussion with counsel only

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Dear Lender,

GrnBit (Cayman) Holdings ("**Borrower**") requests your consideration of a senior secured term loan to fund energisation and OCTO AI validation at **Miracle Lake, Karnes County, Texas — Phase 1**.

### Substantiation — simulation source and traceability

We are not asking you to rely on a static deck. Coverage metrics in the enclosed term sheet are sized from the **OCTO-optimized digital-twin simulation** as of **2026-07-06T19:53:22.251Z** — the same model surface used for investor diligence at <https://octo-dashboard-rikj.onrender.com/>

At that pull:

| Metric                            | Value                       | Logic chain                                                      |
|-----------------------------------|-----------------------------|------------------------------------------------------------------|
| OCTO-optimized daily profit       | <b>\$2,387/day</b>          | OCTO-optimized digital-twin run at 2026-07-06T19:53:22.251Z      |
| Edge vs industry-typical baseline | <b>+22.6%</b>               | (Optimized – baseline) ÷ baseline daily profit in twin           |
| BTC price in model                | <b>\$63,581</b>             | Network economics input at 2026-07-06T19:53:22.251Z              |
| Validation status                 | <b>simulation-validated</b> | Twin run only; live certification begins at Phase 1 energisation |

**Industry-typical baseline** means rig-level SCADA without OCTO per-chip thermal co-control, modeled at **87.9% hashrate utilization** (within CleanSpark Feb 2026 operating/peak range); **Edge vs baseline** is the simulated daily-profit uplift of the OCTO-optimized digital-twin scenario over that unoptimized baseline.

Tier monthly profits, IO payments, target-DSCR payments, and balloon balances trace to that simulation run, scaled by locked CAPEX build-out per tranche (Simulation Assumptions Schedule; Schedule C). The full economics model is available in the data room.

### Why balloon — not full 48-month amortization

At the fixed commercial terms under discussion (**48 months · 12% fixed**), a fully amortizing schedule requires approximately **35%/yr** debt-service yield on principal. The simulation-derived profit yield on funded capex at Phase 1 scale is approximately **29%/yr**. Under full amortization, natural DSCR tops out near **0.82x** even at a **\$3,000,000** draw — below any defensible **1.3x–1.5x** lender floor.

| Comparison                             | Debt-service yield   | Source                                 |
|----------------------------------------|----------------------|----------------------------------------|
| Full 48-mo amortization at 12%         | ~35%/yr on principal | Annuity formula on 48-month term       |
| Simulation profit yield (funded capex) | ~29%/yr              | Tier monthly profit ÷ funded build-out |
| Natural full-amortization DSCR (\$3M)  | ~0.82x               | \$3,000,000 draw — below 1.3x floor    |

This is a **structural** constraint, not a negotiating position. The financeable alternative — standard in project finance — is to **size post-interest-only payments to a target DSCR** and accept a **balloon / refinance balance at maturity** rather than pretend the loan self-liquidates in 48 months.

### Facility sizes offered

| Tranche     | Status                                                                                     |
|-------------|--------------------------------------------------------------------------------------------|
| \$1,000,000 | <b>Not offered</b> — does not fund a viable build-out after site and container fixed costs |
| \$2,000,000 | Offered — see term sheet                                                                   |
| \$3,000,000 | Offered — full Phase 1 scale (preferred)                                                   |

Minimum lender participation: **\$250,000**. Multiple lenders may participate pro-rata in a single facility up to **\$3,000,000**.

### Enclosures

1. Indicative Term Sheet (balloon structure)
2. Form Loan Agreement (discussion draft — counsel to finalize)
3. Simulation Assumptions Schedule
4. Schedule D — Key Risks

### Important disclosures

- OCTO AI performance is **simulation-validated** pending Phase 1 energisation.
- CAPEX build-out sizing uses **locked vendor quotes** (AntSpace/Bitmain hardware + Xplor interconnect) in `capex-quotes.json`, reconciled to **\$3.02M** Phase 1 total.
- This package is **not an offer of securities** and **not legal or tax advice**.

We welcome a diligence call and site scoping session. Contact: [info@grnbit.digital](mailto:info@grnbit.digital).

Respectfully,

**GrnBit (Cayman) Holdings**

Miracle Lake TX Phase 1 · OCTO AI Validation Site

**Annex — Tranche payment summary (OCTO-optimized digital-twin · 2026-07-06T19:53:22.251Z)****\$2,000,000 tranche**

| Item                               | Value                                   | Logic chain                                                        |
|------------------------------------|-----------------------------------------|--------------------------------------------------------------------|
| Build-out funded                   | 129 miners / 210 (61%) · 2 container(s) | Locked CAPEX quotes (Schedule C) applied to draw amount            |
| Tier daily profit (sim)            | \$1,466/day                             | OCTO-optimized digital-twin \$2,387/day × 61% funded fraction      |
| Tier monthly profit (sim)          | \$44,600/mo                             | $\$1,466/\text{day} \times (365 \div 12) = \$44,600/\text{mo}$     |
| IO period                          | Months 1–6 · \$20,000/mo                | $\$2,000,000 \times 12\% \div 12 = \$20,000/\text{mo}$             |
| IO-period DSCR                     | 2.23x                                   | $\$44,600/\text{mo} \div \$20,000/\text{mo}$                       |
| Post-IO payment (target 1.3x DSCR) | \$34,308/mo                             | $\$44,600/\text{mo} \div 1.3x \text{ DSCR} = \$34,308/\text{mo}$   |
| Balloon due month 48               | \$1,257,733 (62.9% of principal)        | Principal \$2,000,000 less scheduled principal paydown months 7–48 |

**\$3,000,000 tranche**

| Item                               | Value                                   | Logic chain                                                      |
|------------------------------------|-----------------------------------------|------------------------------------------------------------------|
| Build-out funded                   | 208 miners / 210 (99%) · 3 container(s) | Locked CAPEX quotes (Schedule C) applied to draw amount          |
| Tier daily profit (sim)            | \$2,364/day                             | OCTO-optimized digital-twin \$2,387/day × 99% funded fraction    |
| Tier monthly profit (sim)          | \$71,913/mo                             | $\$2,364/\text{day} \times (365 \div 12) = \$71,913/\text{mo}$   |
| IO period                          | Months 1–6 · \$30,000/mo                | $\$3,000,000 \times 12\% \div 12 = \$30,000/\text{mo}$           |
| IO-period DSCR                     | 2.4x                                    | $\$71,913/\text{mo} \div \$30,000/\text{mo}$                     |
| Post-IO payment (target 1.3x DSCR) | \$55,318/mo                             | $\$71,913/\text{mo} \div 1.3x \text{ DSCR} = \$55,318/\text{mo}$ |

|                      |                                  |                                                                    |
|----------------------|----------------------------------|--------------------------------------------------------------------|
| Balloon due month 48 | \$1,686,539 (56.2% of principal) | Principal \$3,000,000 less scheduled principal paydown months 7–48 |
|----------------------|----------------------------------|--------------------------------------------------------------------|